

Draft for exact-file review

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Advisory contractual phantom carry plan — proposed instrument

Document ID: SH-LEGAL-DRAFT-CARRY

Gap ID: LEGAL-GAP-CARRY

Status: DRAFT_FOR_REVIEW — synthetic, unexecuted proposed instrument

Version: 0.1.0

Prepared: 2026-09-12

Owner: Legal / Finance / People & Culture

Approval date: not established

Effective date: not established; source event dates below are not execution of this draft

Authority: Markdown controls this draft; JSON is its structured companion.

1. Proposed plan agreement and limitations

Sable Harbor, LLC (SHI), the accepted Delaware LLC parent, is the proposed sponsor of this contractual phantom carry plan for the Advisory business. Its identity is established; plan approval, signatory and legal/tax implementation remain pending. Advisory's descriptive business name does not create a separate partnership or subsidiary. This agreement is proposed implementation of SH-ADV-005 and preserves its eligibility, economics and institutional boundaries. No participant, grant, vested balance, distribution or individual entitlement is established in this document.

A grant becomes effective only through a separately approved individual grant instrument after the eligibility process below. The plan administrator shall keep the plan, grant instrument and calculation records together, with their approved versions. A draft, employment discussion, indicative range or source financial forecast is not an issued grant. Legal and tax implementation remains subject to qualified review, including timing and withholding; this document does not certify a particular tax characterization or regulatory exemption.

2. Eligibility and prohibition on serving-J2 discussions

Only qualifying former J2 professionals may be considered. Orientation requires a full commissioned tour and one qualifying fellowship. Judgment requires five years in a Judgment Officer position plus two years of substantive service in an actual Sable Harbor operating business line; JAG does not substitute. Contact requires four years of substantive leadership responsible for people and collection outcomes. Education requires five years, including two years with substantive ownership of curriculum, professional formation, doctrine, fellowship or evaluation used across J2; pure administration does not qualify. Headquarters service alone creates no gate and must rest on a qualifying underlying professional path.

No serving J2 person may receive, negotiate, reserve, model, preview, pre-clear or be informally promised a grant. Individualized contact may begin only after J2 service ends and the former professional initiates contact. Administrators shall not prepare named shadow allocations or prospective serving-person examples. Eligibility confirmation shall record only the service facts necessary to test the gate; it must not request protected operational information, source identities or classified work product.

An applicant's qualifying service permits consideration, not an entitlement. The administrator shall record service completion, applicant-initiated contact and eligibility evidence before any individualized grant proposal. A representation that no individualized promise occurred during service shall accompany the eventual grant. An adverse or uncertain representation requires review rather than retrospective fabrication of a compliant chronology.

3. Phantom units and absence of authority

The pool comprises 10,000 notional Carry Units. Units are contractual allocation measures, not shares, voting securities issued by this draft or ownership of Advisory intellectual property. They confer no board seat, management role, veto, budget or hiring control, client ownership, J2 access, Atlas source-code rights or Sable Harbor equity rights. Ordinary professional careers in Advisory remain available without carry.

Unallocated units remain unallocated and accrue to no person. The administrator shall maintain authorized, granted, unvested, vested, forfeited and expired units as distinct fields and reconcile their movements. New approved grants dilute relative participating percentages; there is no automatic anti-dilution right. The source's indicative level ranges remain guidelines, not reservations or promises. No grant may reward privileged J2 access, relationships, information or willingness to commercialize protected knowledge.

4. Annual economic calculation

The Advisory Carry Pool equals 20% of Excess Advisory Economic Profit after the hurdle and required reserves. Finance shall calculate Advisory Economic Profit as recognized Advisory operating profit plus approved Atlas-related Advisory contribution, less direct matter losses, approved shared-service allocations, risk and claims charges, and required investment reserves. Finance shall identify the basis of each adjustment and prevent the same loss or reserve being deducted twice under different labels.

Before carry arises, the calculation shall provide for the full return of current-period operating losses carried forward, required professional-liability, warranty, transfer-support and working-capital reserves, and the annual hurdle equal to the greater of 10% of allocated Advisory operating capital or the enterprise-approved cost-of-capital charge. The applicable capital basis, charge and reserve determinations require Finance approval for the relevant period. An absent capital allocation cannot be treated as zero merely to create a pool. No carry is payable on gross revenue, backlog, bookings or uncollected outcome fees.

The administrator shall provide a calculation statement showing opening loss carryforward, period economics, identified adjustments, required reserves, hurdle and resulting excess. A negative or zero excess generates no positive pool; it shall not be offset with an invented gain. Transactions principally intended to inflate or suppress carry are excluded or corrected with a documented basis. This plan creates no participant-specific illustration using a serving or named J2 person's potential future employment.

5. Grant instrument and vesting

An individual instrument shall identify the eligible former professional, approved units, grant date, service start for vesting, accepted terms and authorized approval. Those fields are deliberately unfilled here. Default vesting is five years at 20% per completed year, with no cliff. No acceleration is granted by this template. Unpaid leave may suspend vesting only where legally permissible; approved enterprise assignments, disability, military leave and other protected circumstances may receive limited service credit through the annual Carry Allocation Review.

Vesting records must distinguish completed service from expected future service. Backdating a grant to accommodate forecast economics is prohibited under this proposal. Any approved departure from default vesting shall identify its source authority and legal review. The grant shall state that units do not attach to an individual matter's fee and that economic participation cannot confer authority to alter professional findings, baseline certification or client acceptance.

6. Distributions and holdback

Annual distributions may occur only after audited or Finance-certified results, required reserves, accrued material client outcome disputes, assessment of claims and clawback exposures, and Carry Allocation Review approval. Distributable carry attributable to a participant equals distributable carry multiplied by that participant's vested units divided by total vested participating units. If no units participate, no participant distribution shall be invented. Unallocated units do not receive an individual's distribution.

A portion may be held in a two-year rolling reserve for subsequent reversals, collection failures, claims, restatements or misconduct findings. The source does not fix a percentage, so the holdback percentage and release conditions remain an explicit annual approval field. The statement shall show gross allocation, current withholding, holdback added, prior holdback released, adjustments and actual cash separately. A distribution calculation or due amount is not proof of payment. Holdback shall not be silently treated as a discretionary permanent confiscation; reasons for continuation or use must be recorded.

7. Departure and expiration

Good-leaver treatment generally covers retirement, disability, death, enterprise-directed transfer, agreed departure, redundancy and voluntary departure in good standing after at least three years of Advisory service. Vested units continue economically for three additional annual distribution cycles and then expire unless retirement status is approved. Retirement-status Distinguished or Senior Principals may retain vested participation for up to five cycles when approved. Unvested units are forfeited, with possible pro rata vesting through death or permanent disability under the source rule.

The administrator shall record classification, separation date, remaining cycles and expiration without inventing actual departure events. A participant shall receive the reasons and calculation and an opportunity to identify a factual error. Enterprise transfer does not itself grant the recipient operating role authority through carry. No separation schedule in this draft names a current person or changes a current appointment.

8. Misconduct, malus and recovery

Bad-leaver grounds include fraud, intentional confidentiality breach, falsified evidence, bribery, knowing manipulation of outcome economics, serious harassment or retaliation, deliberate J2-boundary violation, theft of client or Sable Harbor IP and other material misconduct. Commercial underperformance alone is not misconduct. Subject to a supported determination and applicable rights, remedies may include forfeiture of unvested units, cancellation of future vested participation, recovery of distributions attributable to misconduct and separately available remedies.

Carry may be reduced or recovered where misstated profit, manipulated baseline or attribution, improperly recognized uncollectible fees, concealed claims, misconduct, independence breaches or misuse of protected information materially affected it. The normal lookback is three years, extended where law, fraud or contract requires. Proposed administration requires written notice of the factual and calculation basis, preservation of evidence and an opportunity to respond before final nonurgent recovery. Necessary protective suspension does not establish guilt or permit alteration of the underlying professional record.

9. Information, records and transfer restrictions

Participants receive information necessary to understand their grant and calculation, subject to confidentiality and institutional boundaries. The administrator may provide a redacted allocation statement and explanation instead of disclosing another participant's personal records, client secrets or J2 information. A calculation dispute does not create access to restricted source systems. Finance shall preserve correction history so a restatement can be traced to affected years and distributions.

Units may not be assigned, pledged or marketed through this draft. Death and estate administration require verified lawful representatives and the applicable grant provisions; no beneficiary is named here. The proposed restriction preserves the source's personal professional participation design and remains subject to qualified review. Confidential information obtained for plan administration may be used only for that purpose or authorized legal and tax advice.

10. Reorganization, amendment and execution

A sale, spinout, merger, recapitalization or separate capitalization requires Finance and Legal to determine an economically fair treatment of vested participation. Conversion shall preserve earned economics without covertly conferring governance rights. No transaction value, valuation formula or acceleration is invented in anticipation of a transaction. An amendment shall identify its effect on accrued economics, remaining units and institutional boundaries and obtain required approvals; the administrator cannot waive the serving-J2 prohibition by individual agreement.

Execution requires approved sponsor action, legal/tax mechanics, notice and dispute arrangements, authorized signatories and a controlled grant form. Jurisdiction, payment timing required by applicable law, withholding documentation and any deferred-compensation restrictions remain unresolved completion fields. No signature block is populated, no units are allocated and no distribution is represented as made. This instrument is a complete proposed plan framework for review, not a counsel opinion or a substitute for the separate individual grant approval process.

Source record and approval boundary

- [industrial/corporate/LEGAL_STRUCTURE_AND_FORMATION.md](#)
- [docs/advisory/CARRY_PLAN_STANDARD.md](#)
- [docs/advisory/LEGAL_AND_CONTRACTING_TERM_SHEET.md](#)

No signatures, payments, provider acceptance or external filing are established by this draft. Its proposed clauses become neither accepted canon nor effective obligations through rendering, indexing or validation. Approval must identify the exact instrument and any completed schedules.